Question #1 of 75

Question ID: 1675132

An investor is looking to establish an option strategy that does not involve a position in an underlying share, but would provide a modest potential for gain in case of the share price decline, while limiting losses if the share price rose. Which of the following option strategies would *best* achieve these objectives?

A) Bear call spread.

B) Bull put spread.

C) Zero-cost collar.

Question #2 of 75

Question ID: 1675184

An uncovered (short) put option position on an asset can be hedged by:

A) buying a call.

B) short selling the asset.

C) buying the asset.

Question #3 of 75

Question ID: 1675114

Suppose an investor purchases a stock at $41 today and sells (takes a short position in) an $45 call, for a $3 premium. The investor's breakeven price is *closest* to:

A) $44.

B) $37.

C) $38.

Question #4 of 75

Question ID: 1675123

Assume that the current price of a stock is $100. A call option on that stock with an exercise price of $97 costs $7. A call option on the stock with the same expiration and an exercise price of $103 costs $3. Using these options, what is the cost of entering into a long bull spread on this stock?

A) $0.

B) $1.

C) $4.

Question #5 of 75

Question ID: 1675185

An investor owns DEF shares that trade at $28 on January 15. The investor prefers not to sell the shares but would like to generate additional income from writing call options on the shares. He expects a maximum price volatility of 10% over the next two months. Which of the following strategies is *most appropriate* for the investor? (Assume that options expire on the 15th of each month.)

A) Sell MAR $31 calls.

B) Sell MAR $28 calls.

C) Sell FEB $31 calls.

Question #6 of 75

Question ID: 1675163

An analyst noticed that following a period of low volatility, implied volatility has picked up for out-of-the-money (OTM) put options, while the price of OTM call options declined. Which of the following terms *best* describes this scenario?

A) Risk reversal.

B) Volatility smile.

C) Volatility skew.

Question #7 of 75

Question ID: 1675121

Buying a call option on a short position in an underlying security has the same payoff structure at option expiration as a:

A) long put.

B) short call.

C) long put combined with a short call.

Misha Kovac is an options trader at a European investment firm. Kovac is currently evaluating options strategies for three stocks with the following characteristics:

Stock 1:	This currently trades at €64. A modest longer-term (> 6 months) price appreciation is expected with a weak short-term (2 months) outlook with a potential price decline to €61.
Stock 2:	This currently trades at €48. The price is expected to stay flat over the next year with minimal movement.
Stock 3:	This currently trades at €15. A modest price decline is expected to €12, with very limited potential to trade above the current price.

Question #8 - 11 of 75

Question ID: 1675152

Kovac is considering a bear put spread strategy. The strategy is *most appropriate* for:

A) Stock 2.

B) Stock 1.

C) Stock 3.

Question #9 - 11 of 75

Question ID: 1675153

Kovac is also considering a short straddle strategy. This strategy is *most appropriate* for:

A) Stock 1.

B) Stock 3.

C) Stock 2.

Question #10 - 11 of 75

Question ID: 1675154

For this question only, assume that Kovac decides to establish a long calendar spread for Stock 1 using call options. A long calendar spread is:

A) a credit spread, and the maximum loss is limited by the call strike price.

B) a debit spread, and the maximum gain is limited by the call strike price.

C) a debit spread, and the maximum gain is unlimited.

Question #11 - 11 of 75

Question ID: 1675155

Recently, Kovac established a protective put position on a stock other than Stocks 1, 2, and 3. Which of the following statements about a protective put is *most accurate*?

A) The net exposure is equivalent to a long call.

B) The maximum gain is the put strike price.

C) Pre-expiry, the position delta is between −1 and 0.

Question #12 of 75

Question ID: 1675112

Which of the following statements regarding covered call options on an underlying stock is *most correct*?

A) The strategy is used to generate additional portfolio income by speculating that the underlying stock price will change significantly.

B) The maximum loss is equal to the purchase price of the stock less the call premium.

C) The breakeven price is equal to the strike price of the stock less the call premium.

Question #13 of 75

Question ID: 1675187

An investor is expecting low volatility in the price of a stock that she owns without a clear up or down trend. The *best* course of action for the investor to take would be to:

A) enter into a collar.

B) sell out-of-the-money calls.

C) buy at-the-money puts.

One year ago, Anthony Mult, a trader at GIX Bank, decided to leave the bank to manage his own portfolio on a full-time basis.

Six months ago, Mult shorted a forward contract with an exercise price of EUR 30 per share on 80,000 shares of Zuhu, a European video conferencing firm. The forward contract matures in three months, and Zuhu's current share price is EUR 28.5. Mult wishes to offset his short forward position using a synthetic forward.

In January 2X20, Mult decides to implement a covered call strategy on Zuhu to generate some extra cash. Mult is certain that Zuhu's price will remain stable over the next two months. Information on Zuhu options is shown in **Exhibit 1: Selected Information on Zuhu* Options**.

Exhibit 1: Selected Information on Zuhu* Options

Call Price			Exercise Price	Put Price		
February	March	April		February	March	April
2.3	2.7	2.9	30	1.65	1.85	2.30
1.5	1.8	2.3	31	1.95	2.50	2.82
1.1	1.4	1.9	32	2.05	2.55	3.12

*The current Zuhu share price is EUR 31.5.

XVOX, a U.S.-based company and a competitor of Zuhu, is a potential acquisition target of a large multinational communication company. A government committee is currently reviewing the deal. While a final decision is expected to be announced in the coming two weeks, there is no clear indication that the deal will be approved. Expecting XVOX's share price to abruptly move upward or downward after the announcement, Mult decides to implement a straddle on XVOX. Selected information pertaining to options on XVOX is shown in **Exhibit 2: Selected Information Pertaining to Options on XVOX* (In USD)**.

Exhibit 2: Selected Information Pertaining to Options on XVOX* (In USD)

Call Price	Exercise Price	Put Price
2.15	30	1.80

*The current share price of XVOX is $30.

Two years have passed since Mult started managing his own portfolio, and his strategies have been rewarding. As a result, his sister-in-law, Lina Fayton, asks him to manage her portfolio. Fayton holds a position in Suxzi AG, a publicly traded U.K. company. Fayton would like to sell her holdings in the company in six months, convert the proceeds to USD, and invest in a U.S. limited partnership. Over the next six months, Mult expects the GBP to depreciate and U.K. interest rates to continue to decrease, negatively affecting the GBP. Mult suggests using currency options on the USD/GBP pair to hedge against the depreciation of the GBP against the USD. Additional information related to the Suxzi position is shown in **Exhibit 3: Selected Information Related to the Suxzi AG Position**.

Exhibit 3: Selected Information Related to the Suxzi AG Position

Current market value of Suxzi shares	GBP 30,000,000
Current exchange rate	1.39 USD/GBP
Expected exchange rate in 6 months	1.38 USD/GBP
Exercise price of the 6-month USD/GBP call option	1.42 USD/GBP
Exercise price of the 6-month USD/GBP put option	1.40 USD/GBP
6-month USD/GBP call option premium	0.015 USD/GBP
6-month USD/GBP put option premium	0.023 USD/GBP

Question #14 - 17 of 75

Question ID: 1675141

Which of the following is *most likely* equivalent to a synthetic long forward position that will offset Mult's short position in the forward contract on Zuhu shares?

A) Long a call option and short a put option on Zuhu shares with an exercise price of EUR 30 and that expire in three months.

B) Long a call option and long a put option on Zuhu shares with an exercise price of EUR 30 and that expire in three months.

C) Buy 80,000 shares of Zuhu at the current market price of EUR 28.5 by borrowing EUR 2,280,000 for three months.

Question #15 - 17 of 75

Question ID: 1675142

Based on **Exhibit 1: Selected Information on Zuhu* Options** and in line with Mult's expectation, the maximum loss and profit on the covered call position that Mult should implement to reap the highest benefit are *closest* to:

A) EUR 30.1 and EUR 1.9, respectively.

B) EUR 31.5 and EUR 0.5, respectively.

C) EUR 29.6 and EUR 2.4, respectively.

Question #16 - 17 of 75

Question ID: 1675143

Based on **Exhibit 2: Selected Information Pertaining to Options on XVOX* (In USD)** and Mult's expectation pertaining to XVOX, the straddle will *most likely* become profitable if XVOX's share price at expiration is:

A) lower than $26.05 or higher than $33.95.

B) between $26.05 and $33.95.

C) lower or higher than $30.

Question #17 - 17 of 75

Question ID: 1675144

Based on **Exhibit 3: Selected Information Related to the Suxzi AG Position**, if Fayton hedges the currency risk related to her position in Suxzi shares using options and the GBP depreciates as expected, the effective USD value of Suxzi shares in six months would be *closest* to:

A) USD 42,000,000.

B) USD 41,310,000.

C) USD 42,150,000.

Titus Kotra is a portfolio manager who manages several accounts for high-net-worth clients. He often uses derivatives for suitable client accounts for both hedging purposes and to generate additional income. He tends to avoid purely speculative strategies.

Kotra is currently considering derivatives trades for two of his clients. Client A is more risk averse but is comfortable with derivatives strategies to hedge against potential adverse market movements. Kotra believes that a market correction could cause the stock prices in Client A's portfolio to decline. Client B is less risk averse and prefers strategies that generate income for the portfolio in stable markets. However, he does not like overly risky strategies. Kotra believes that stock prices in Client B's portfolio will remain stable.

Question #18 - 21 of 75

Question ID: 1675135

Which of the following derivatives strategies is *least appropriate* for Client A?

A) Long put.

B) Zero-cost collar.

C) Short straddle.

Question #19 - 21 of 75

Question ID: 1675136

Which of the following derivatives strategies is *most appropriate* for Client B?

A) Credit spread.

B) Debit spread.

C) Protective put.

Question #20 - 21 of 75

Question ID: 1675137

Kotra decides to execute a bull put spread for Client B by selling a put for $5.00 with a strike price of $35 and buying a put for $2.20 with a strike price of $30 on one of the portfolio stocks. The breakeven price for the bull put spread is *closest* to:

A) $37.80.

B) $32.20.

C) $27.20.

Question #21 - 21 of 75

Question ID: 1675138

In speaking with a colleague, Kotra notes that short straddles are volatility plays that have asymmetric loss potential. Kotra's statement is *most likely* correct regarding:

A) both volatility plays and asymmetric loss potential.

B) volatility plays only.

C) asymmetric loss potential only.

Question #22 of 75

Question ID: 1675186

An option trader expects that a telecommunications company will make a significant announcement tomorrow about its recent acquisition, either announcing large profits from the acquisition, or large losses. The company's shares are currently trading at $105. The news could cause a 20% change in the share price over the next week, after which the share price is expected to stabilize. Options with 1-week maturities are available. Which of the following strategies is *most appropriate* for the trader?

A) Short at-the-money straddle.

B) Long at-the-money straddle.

C) Bull call spread by buying a $105 strike call and selling a $126 strike call.

Question #23 of 75

Question ID: 1675115

Suppose an investor purchased a stock for $40 last month and sold (took a short position in) a $45 call, for a $3 premium. At expiration of the call, the stock is trading at $47. Which of the following statements is *most accurate*?

A) The investor would have made a larger profit by simply owning the stock, without the option position.

B) The investor has an $8 gain at expiration of the option.

C) At expiration, the option is out of the money.

Gaby Elson is a portfolio manager at WeManage Co., a U.S. wealth management firm. Elson has just returned to his office after a devastating tornado hit the state and found some of his files shattered or lost. For compliance purposes, Elson had to recreate some of his missing notes related to recommendations given to four new clients he recently engaged with—Adam Jay, Mary Poet, Georgetta Kaya, and Harry Wilson.

Jay took a short position in a European call on the stock of GHY, an electronics company, with an exercise price of $63.30 and a premium of $1.56. When the call was shorted, the stock price of GHY was $61.98.

Poet took a long bear put spread on the stock of DYZ, an energy company, to hedge against a partial decrease in its price. At expiration of the put options, the stock price of DYZ was $20.71. Information on the put options is shown in **Exhibit 1: Selected Information Pertaining t o the Put Options Used in the Bear Spread**.

Exhibit 1: Selected Information Pertaining t o the Put Options Used in the Bear Spread

Option premium on the put with $24.50 exercise price	$2.26
Option premium on the put with $32.60 exercise price	$9.96

Kaya took a short calendar spread to benefit from the difference in theta between two put options on the stock of RKI, a biotech company. Both options are identical except that one expires at the end of June and the other expires at the end of December.

Wilson took a collar on the stock of KNR, a technology chip manufacturer, when KNR's stock price was $56.30. Wilson owns 5,000 shares of KNR. Selected information on options on the KNR stock is shown in **Exhibit 2: Selected Information on KNR Call and Put Options**.

Exhibit 2: Selected Information on KNR Call and Put Options

Strike Price	Call Option Delta	Put Option Delta
52.20	0.65	-0.45
56.30	0.53	-0.55
60.20	0.35	-0.73

Question #24 - 27 of 75

Question ID: 1675157

Regarding Jay's case, which of the following is *least likely* a valid reason for recommending a short position in the call option on the stock of GHY?

A) The GHY stock was undervalued and was expected to rise by $2.96 until maturity of the call option.

B) The GHY stock was expected to rise to $63.30 at maturity of the call option.

C) The GHY stock was expected to remain stable or decrease until maturity of the call option.

Question #25 - 27 of 75

Question ID: 1675158

Regarding the case of Poet, based on **Exhibit 1: Selected Information Pertaining t o the Put Options Used in the Bear Spread**, the loss/profit on the long bear put spread is *closest* to:

A) –$7.70.

B) $8.10.

C) $0.40.

Question #26 - 27 of 75

Question ID: 1675159

Which of the following is *most likely* the best reason for recommending Kaya to take a short calendar spread?

A) The market was expected to be stable over the near term, and its implied volatility was expected to increase over the longer term.

B) The market was expected to be volatile over the near term, and its implied volatility was expected to decrease over the longer term.

C) The market was expected to be volatile over the near term, and its implied volatility was expected to increase over the longer term.

Question #27 - 27 of 75

Question ID: 1675160

Regarding Wilson's case, based on **Exhibit 2: Selected Information on KNR Call and Put Options**, the change in the value of the collar position for a $1 increase in the stock price of KNR is *closest* to:

A) $4,500.

B) $1,000.

C) −$1,900.

Question #28 of 75

Question ID: 1675117

An investor who purchases a stock and wants the maximum price protection for her stock, but is also conscious of up-front cost, should enter into a protective put position using a(n):

A) out-of-the-money put option.

B) in-the-money put option.

C) at-the-money put option.

Question #29 of 75

Question ID: 1675127

An investor purchases a stock for $38 and a put for $0.50 with a strike price of $35. The investor sells a call for $0.50 with a strike price of $40. What is the maximum profit and loss for this position?

A) Infinite profit and maximum loss = –$4.00.

B) Maximum profit = $2.00 and maximum loss = –$3.00.

C) Maximum profit = $3.00 and maximum loss = –$4.00.

Sally Wesley is a portfolio advisor at Wayman Investment NA. Wesley specializes in derivative investments and primarily manages the portfolios of clients who wish to modify and adjust their portfolio risk exposures.

Last week, the portfolio of Rima Vera, one of Wayman's VIP clients, was assigned to Wesley. Vera's portfolio has a 50% exposure to equity, and Vera is concerned about the impact that a global pandemic currently underway could have on corporate earnings. She mentions to

Wesley that while she is still bullish on CODS, a chain of retail clothing shops, in the long term, she is quite bearish on the stock in the short term. Wesley suggests using options to replicate a temporary short position in the stock.

Impressed by Wesley's knowledge and expertise, Vera asks Wesley to suggest derivatives strategies that would enhance portfolio returns and expose Vera to stocks she does not hold. Wesley mentions that a consensus has emerged among major economists that market volatility is expected to continue increasing because a definitive set of remedies to the pandemic has yet to be found. Wesley suggests using options on the VIX futures contract to increase the portfolio's alpha. She notes the following:

> Note 1: Call and put options on VIX futures contracts can be used to hedge tail risk of equity investments. A call option on a VIX futures contract can be added to the portfolio; if the price of the VIX futures contract is above the call strike price at expiry, the profit on this strategy will be positive.

Vera and Wesley discuss the prospects of the medical industry, and Vera mentions that she is interested in PERTO, a U.S.-based manufacturer of medical devices. Because the stock of PERTO has a bullish outlook, Wesley suggests implementing a strategy that involves going long a call option with an exercise price of $15 and going short a call option with an exercise price of $20. Information on the two call options is shown in Exhibit 1.

Exhibit 1: Selected Information Pertaining to C all Option on PERTO*

Option premium on the call with a $15 exercise price	$1.6
Option premium on the call with a $20 exercise price	$0.2

*PERTO's current stock price is $14.

After further research, Wesley prepares a report on PERTO, in which she highlights that the firm's outlook for the current year is bullish, but the stock is expected to remain at its current level for the next three months. Accordingly, Wesley suggests implementing one of the following strategies on PERTO's stock:

Strategy 1:	Bull spread
Strategy 2:	Calendar spread

Question #30 - 33 of 75

Question ID: 1675190

Which of the following strategies will *most likely* replicate a temporary short position on CODS?

A) Short a call option and long a put option on CODS with the same exercise price and maturity.

B) Long a call option and short a put option on CODS with the same exercise price and maturity.

C) Long a call option and long a put option on CODS with the same exercise price and maturity.

Question #31 - 33 of 75

Question ID: 1675191

Note 1 pertaining to the options on the VIX futures contract is *most likely*:

A) incorrect with regard to the positive profit on the strategy at expiry.

B) correct.

C) incorrect with regard to hedging tail risk of equity investments.

Question #32 - 33 of 75

Question ID: 1675192

Based on Exhibit 1, the rate of return on the PERTO stock that will achieve breakeven on the strategy suggested by Wesley is *closest* to:

A) 15%.

B) 10%.

C) 17%.

Question #33 - 33 of 75

Question ID: 1675193

Based on Wesley's report regarding PERTO's outlook, the *most* suitable strategy is:

A) Strategy 2, which is implemented by going long a 12-month call option and going short a 3-month call option.

B) Strategy 2, which is implemented by going long a 12-month put option and going short a 3-month put option.

C) Strategy 1, which is implemented by going long a call option with an exercise price of $40 and going short a call option with an exercise price of $45.

Question #34 of 75

Question ID: 1675113

A portfolio manager currently oversees a $300 million equity portfolio, which is invested equally in Stock 1, Stock 2, and Stock 3. The manager expects that over the next six months, the price of Stock 2 will not deviate significantly from its current price of $60, and would like to monetize this view. There is a liquid options market for each security, and both 6-month call and put options are available. Which of the following strategies would be *most appropriate* for the manager?

A) Sell a $65 call.

B) Buy a $62 put.

C) Buy a $58 call.

Question #35 of 75

Question ID: 1675120

An investor has a short position in Alpha stock. The investor decides to buy a $50 strike call and sell a $50 strike put on the security. The investor is:

A) fully hedged against all price movements in Alpha.

B) exposed to more upside risk than downside risk.

C) exposed to more downside risk than upside risk.

Question #36 of 75

Question ID: 1675122

A portfolio manager with a short position in an underlying security who expects no price movement in the security over the next six months is *least likely* to benefit from:

A) selling a 6-month call on the security.

B) selling a 6-month put and buying a 6-month call on the security.

C) selling a 6-month put on the security.

Question #37 of 75

Question ID: 1675161

A *risk reversal* strategy that combines a short put with a long call creates:

A) a long exposure in the underlying shares.

B) a short exposure in the underlying shares.

C) a neutral exposure in the underlying shares.

Question #38 of 75

Question ID: 1675145

The shape of the protective put payoff diagram at expiration *most closely* resembles the payoff diagram of a:

A) short call.

B) short stock.

C) long call.

Question #39 of 75

Question ID: 1675129

Linda Morgan is in a training program at a large investment bank. Currently, she is spending three months at her firm's derivatives trading desk. One of the traders, Jason Gover, CFA, asks her to compare different option trading strategies. Gover would like Morgan to pay particular attention to strategy costs and their potential payoffs. Morgan is not very comfortable with option models and must first investigate how to properly price European-style and American-style equity options. Gover has given her software that provides various analytical information. Morgan has decided to begin her analysis using two different scenarios to evaluate option behavior. Her scenarios are illustrated in Exhibit 1 and Exhibit 2. Note that all of the rates and yields are on a continuous compounding basis.

Exhibit 1

Exhibit 1	
Stock Price (S)	$100
Call Strike Price (X)	$100
Price	$5.51

Exhibit 2

Exhibit 2	
Stock Price (S)	$100
Put Strike Price (X)	$100
Price	$5.68

Gover instructs Morgan to consider using a straddle in which an at-the-money call and put option would be purchased. Assume all other variables remain identical.

Under what circumstance would an investor want to purchase a straddle? When the investor expects prices to:

A) increase.

B) stay close to the exercise price of the options.

C) increase or decrease substantially.

Question #40 of 75

Question ID: 1675128

Linda Morgan is in a training program at a large investment bank. Currently, she is spending three months at her firm's derivatives trading desk. One of the traders, Jason Gover, CFA, asks her to compare different option trading strategies. Gover would like Morgan to pay particular attention to strategy costs and their potential payoffs. Morgan is not very comfortable with option models and must first investigate how to properly price European-style and American-style equity options. Gover has given her software that provides various analytical information. Morgan has decided to begin her analysis using two different scenarios to evaluate option behavior. Her scenarios are illustrated in Exhibit 1 and Exhibit 2. Note that all of the rates and yields are on a continuous compounding basis.

Exhibit 1

Exhibit 1	
Stock Price (S)	$100
Call Strike Price (X)	$100
Price	$5.51

Exhibit 2

Exhibit 2	
Stock Price (S)	$100
Put Strike Price (X)	$100
Price	$5.68

Gover instructs Morgan to consider using a straddle in which an at-the-money call and put option would be purchased. Assume all other variables remain identical.

Linda now wants to compute the breakeven points for the straddle using the options and underlying stock in Exhibits 1 and 2. Which of the following are the *closest* to the breakeven points for the straddle?

A) $95.58, $104.42.

B) $93.11, $106.89.

C) $88.81, $111.19.

Question #41 of 75 Question ID: 1675147

A long position in an asset, combined with a short forward on the same asset (in the same amount), has a delta of:

A) 0 to +1.

B) 0.

C) −1 to 0.

Dennis Austin works for O'Reilly Capital Management and manages endowments and trusts for large clients. The fund invests most of its portfolio in S&P 500 stocks, keeping some cash to facilitate purchases and withdrawals. The fund's performance has been quite volatile, losing over 20% last year but reporting gains ranging from 5% to 35% over the previous five years. O'Reilly's clients have many needs, goals, and objectives, and Austin is called upon to design investment strategies for its clients. Austin is convinced that the best way to deliver performance is to, whenever possible, combine the fund's stock portfolio with option positions on equity.

Question #42 - 44 of 75

Question ID: 1675180

Here is the following scenario:

- Performance to date: up 3%
- Client objective: to maintain a positive stock position and retain upside potential
- Austin's scenario: expect low stock price volatility between now and end of year

Which is the *best* option strategy to meet the client's objective?

A) Protective put.

B) Bull call.

C) Covered call.

Question #43 - 44 of 75

Question ID: 1675181

Here is the following scenario:

- Performance to date: up 16%
- Client objective: earn at least 15%
- Austin's scenario: good chance of large gains or large losses between now and end of year

Which is the *best* option strategy to meet the client's objective?

A) Long straddle.

B) Collar.

C) Short straddle.

Question #44 - 44 of 75

Question ID: 1675182

Here is the following scenario:

- Performance to date: up 16%
- Client objective: earn at least 15%
- Austin's scenario: good chance of large losses between now and end of year

Which is the *best* option strategy to meet the client's objective?

A) Long call options.

B) Long put options.

C) Short call options.

Question #45 of 75

Question ID: 1675119

An investor purchases Zalaa stock at $74.40, and at the same time buys a $73 put option on Zalaa for $2.60. Which of the following statements is *most accurate*?

A) The breakeven is $75.60.

B) The maximum loss is $4.00.

C) The maximum gain is $2.60.

Question #46 of 75

Question ID: 1675183

An investor is interested in buying KPQ shares but finds the current trading price of $128 too high. The investor is willing to pay $115 per share. Which of the following strategies is *most appropriate* for the investor?

A) Buy $115 strike price calls.

B) Sell $115 strike price puts.

C) Enter into a $115 strike price collar.

Question #47 of 75

Question ID: 1675124

Assume that the current price of a stock is $100. A call option on that stock with an exercise price of $97 costs $7. A call option on the stock with the same expiration and an exercise price of $103 costs $3. Using these options, what is the profit for a long bull spread if the stock price at expiration of the options is equal to $110?

A) $2.

B) –$2.

C) $6.

Question #48 of 75

Question ID: 1675139

Melinda has a long position on 50,000 of DWD, Inc. (DWD). DWD is currently trading at $42 per share, and it is widely believed that DWD's price will not rise in the next year. She is concerned that the price could fall below $35. Assuming Melinda is seeking protection of her long position for the next year and wants to minimize her total costs, what is her *least likely* course of action?

A) Purchase a put with a strike price of $41 and sell a put with a strike price of $35.

B) Purchase a put with a strike price of $40.

C) Purchase a put with a strike price of $39 and sell a call with a strike price of $45.

Question #49 of 75

Question ID: 1675116

Joe purchases a stock for $55 and simultaneously purchases a put for $2 that has a strike price of $45. Which of the following statements is correct?

A) The breakeven price is $47.

B) The maximum loss is $8.

C) The maximum profit is unlimited.

Question #50 of 75

Question ID: 1675131

A portfolio manager of a large-cap equity fund is convinced that one of her portfolio holdings will exhibit extremely low price volatility over the next three months. The manager has a very high risk tolerance. Which of the following options strategies would provide the maximum potential profit from her forecast?

A) Collar with a higher call premium than put premium.

B) Short straddle.

C) Credit spread with calls.

Question #51 of 75

Question ID: 1675188

An investor is expecting low volatility in the near term for the price of a stock she owns but has a long-term bullish view. The *best* course of action for the investor to take would be to enter into a:

A) long calendar spread with calls.

B) long zero-cost collar.

C) short straddle.

Question #52 of 75

Question ID: 1675149

In May, BCA shares are trading at $43.50. An investor enters into a long calendar spread on BCA by buying an October 45 call for $5.50 and selling a July 45 call for $2.50. In July, the short call expires out of the money. At the time of the short call expiry, the investor would have an overall gain on the spread only if:

A) the BCA stock price increased above $45.

B) the BCA stock price did not fall below $40.50.

C) the October call is worth more than $3.

Question #53 of 75

Question ID: 1675110

An investor who is long a put and short a call on the same underlying (with the same strike price and same expiration) has an identical payoff position to someone who is:

A) long the underlying stock and lends the present value of the option strike price.

B) short the underlying stock and lends the present value of the option strike price.

C) long the underlying stock and borrows the present value of the option strike price.

Question #54 of 75

Question ID: 1675118

An option trader establishes a protective put position by buying a stock at $85 and buying an $86 put option for $2. The breakeven stock price for this position is:

A) $3 above the initial stock price.

B) $1 below the initial stock price.

C) $2 above the initial stock price.

Question #55 of 75

Question ID: 1675111

Richard Macpherson recently entered into a six-month forward contract to buy 400 shares of Mobilia shares at $85 per share. Mobilia does not pay dividends. Which of the following strategies would be *most effective* as a synthetic hedge of Macpherson's position?

A) Buy a six-month $85 call and sell a six-month $85 put on Mobilia.

B) Buy a six-month $85 call and buy a six-month $85 put on Mobilia.

C) Sell a six-month $85 call and buy a six-month $85 put on Mobilia.

Question #56 of 75

Question ID: 1675148

A long calendar spread is similar to a bull spread in that both spreads:

A) involve taking a position in the underlying shares.

B) involve buying and selling both calls and puts.

C) are beneficial if there is relatively little price movement in the underlying shares.

Octopus Portfolio Management (OPM) is a European company that specializes in investment management services. After developing and implementing new risk policies and employing qualified audit and compliance personnel, OPM's board of directors approved the use of derivatives in client portfolios.

Johnny Dorser, a trader specializing in derivative strategies, joins OPM as an assistant portfolio manager. Dorser is tasked with organizing internal training sessions for company associates that cover the role and use of derivatives in risk management. Dorser asks the associates to prepare questions to discuss during the sessions. Two of the questions received by Dorser are as follows:

Question 1:	How will the delta of a covered call change if the call option was out of the money when the strategy was initiated and became in the money at the call's maturity?
Question 2:	What does an increase in both the level of skew and absolute implied volatility indicate about the market, and which option strategy should be used in such a case?

Dorser meets Lizette Zena, a client who holds 40,000 shares of Stabru—a European-listed company. Zena would like to hedge against a drop in the stock price of Stabru below EUR 65. A recently prepared report on Stabru by OPM's equity research team notes, "For the next three months, Stabru's outlook is slightly bullish. It is unlikely that the stock price will increase above EUR 75." Dorser decides to implement a collar strategy. Information on Stabru options is shown in **Exhibit 1: Selected Information on 3-Month Stabru* Options (In EUR)**.

Exhibit 1: Selected Information on 3-Month Stabru* Options (In EUR)

Call Price	Exercise Price	Put Price
6.5	65	0.4
1.3	70	1.4
0.2	75	6.4

*The current price of Stabru is EUR 70.

Three months later, the equity research team provides an updated analysis on Stabru, mentioning that the company is not expected to start paying dividends and that its outlook is stable with a possible price decline. While Zena wishes to hedge against a possible stock price decline, she does not want to forgo the upside potential. Dorser suggests implementing a protective put. During a training session later that day, to test the associates' knowledge, Dorser asks which of the following strategies would replicate a protective put using at-the-money put options on 40,000 Stabru shares, given small changes in the stock price:

Strategy 1:	Long 40,000 Stabru shares and short a forward contract on 20,000 Stabru shares.
Strategy 2:	Long 40,000 Stabru shares and short a forward contract on 40,000 Stabru shares.
Strategy 3:	Long 40,000 Stabru shares and short out-of-the-money call options on 20,000 Stabru shares.

Question #57 - 60 of 75

Question ID: 1675170

Regarding Question 1, the delta of the covered call will *most likely* be:

A) lower than 0 at initiation and close to –1 at expiry of the call option.

B) close to 0 at initiation and close to 0 at expiry of the call option.

C) higher than 0 at initiation and close to 0 at expiry of the call option.

Question #58 - 60 of 75

Question ID: 1675171

Which of the following is the *most accurate* answer to Question 2?

A) The market sentiment is bullish, and a suitable strategy may involve buying call options.

B) The market sentiment is bearish, and a suitable strategy may involve writing call options.

C) The market sentiment is bearish, and a suitable strategy may involve buying put options.

Question #59 - 60 of 75

Question ID: 1675172

Based on **Exhibit 1: Selected Information on 3-Month Stabru* Options (In EUR)** and the report of OPM's equity research team on Stabru, the maximum profit on a suitable collar strategy for Zena is *closest* to:

A) EUR 9.8.

B) EUR 4.8.

C) EUR 5.9.

Question #60 - 60 of 75

Question ID: 1675173

Which of the following *best* replicates a protective put on 40,000 Stabru shares for small changes in Stabru's stock price?

A) Strategy 3.

B) Strategy 1.

C) Strategy 2.

Question #61 of 75

Question ID: 1675125

Assume that the current price of a stock is $100. A call option on that stock with an exercise price of $97 costs $7. A call option on the stock with the same expiration and an exercise price of $103 costs $3. Using these options, what is the expiration profit of a bear call spread if the stock price is equal to $110?

A) –$2.

B) $2.

C) –$6.

Question #62 of 75

Question ID: 1675130

An investor has constructed a zero-cost collar on a share with a price P_0. For any movement in the share price above P_0, the investor will *most likely* have:

A) either a gain or a loss, depending on the call strike price.

B) a gain.

C) a loss until the call strike price is reached.

Question #63 of 75

Question ID: 1675126

What is the expiration payoff of a long straddle, with an exercise price of $100, if the underlying stock price is $125?

A) $25.

B) $0.

C) –$25.

Adam Wilson is the founder of Secure, Inc., a family business that manages the portfolios of high-net-worth individuals. Wilson recently started executing option strategies for his clients.

On January 3, 2X21, Timmy Tailor, one of Secure's clients, informs Wilson that he wishes to liquidate 100 shares of FNR, an energy company, and bequeath the proceeds of the sale to his grandchildren. Tailor asks Wilson to sell the shares anytime throughout the year at the most favorable price. Wilson believes the stock price of FNR will remain stable until the end of the year. He considers writing a European in-the-money call option on the stock. **Exhibit 1: Selected Information Pertaining to the Call Option on FNR*** includes information pertaining to the call option.

Exhibit 1: Selected Information Pertaining to the Call Option on FNR*

Exercise price (X)	$200
Call premium (c_0)	$7.00
Call time-to-expiry	1 year

*The current stock price (S_0) of FNR is $203.

Wilson then writes down the following in his notes:

Note 1:	If the stock price is expected to rise above $207 in one year, Tailor is better off not writing the in-the-money call option.
Note 2:	The expected price in one year below which Tailor is better off selling his FNR shares right now instead of writing the in-the-money call option is $193.

Tailor wishes to maintain the value of his retirement portfolio, which includes 100,000 shares of biotech—a stock that is currently priced at $50 but is expected to decrease sharply if the company fails to deliver on its promises related to its newly launched cancer drug. Tailor asks Wilson to suggest the cheapest possible strategy to fully protect him against a decline in the stock price of biotech below $45. Wilson considers the following strategies:

Strategy 1:	Long a put option with a $45 exercise price only.
Strategy 2:	Long a put option with a $45 exercise price and short a call option with a $55 exercise price.
Strategy 3:	Long a put option with a $55 exercise price and short a put option with a $45 exercise price.

Joe Madison, another client of Secure, expects that the stock price of MOTTO, a company operating in a saturated industry with limited growth potential, will remain stable until the end of this year. Wishing to bet on this expectation, Madison asks Wilson to recommend a suitable strategy. Wilson recommends going short a straddle on MOTTO. **Exhibit 2: Selected Information Pertaining to the Options in the Straddle on MOTTO** includes information pertaining to the call and put options included in the straddle.

Exhibit 2: Selected Information Pertaining to the Options in the Straddle on MOTTO

Call exercise price (X)	$100
Put exercise price (X)	$100
Call premium (c_0)	$3.20
Put premium (p_0)	$2.60

Wilson expects the S&P 500's level of volatility skew to sharply decline. He states, "To profit from this expectation, which implies that the market is expected to turn bullish, I recommend taking a short position in a risk reversal."

Question #64 - 67 of 75

Question ID: 1675175

Regarding Wilson's notes, based on **Exhibit 1: Selected Information Pertaining to the Call Option on FNR***, which of the following is *most accurate*?

A) Note 1 is correct.

B) Note 2 is correct.

C) Both notes are correct.

Question #65 - 67 of 75

Question ID: 1675176

Which of the following is *most likely* the cheapest strategy that will fully protect Tailor against a decline in the price of biotech below $45?

A) Startegy 3.

B) Startegy 2.

C) Startegy 1.

Question #66 - 67 of 75

Question ID: 1675177

Based on **Exhibit 2: Selected Information Pertaining to the Options in the Straddle on MOTTO**, the breakeven prices for the short straddle strategy on the MOTTO stock are *closest* to:

A) $94.20 and $105.80.

B) $97.40 and $103.20.

C) $96.80 and $102.60.

Question #67 - 67 of 75

Question ID: 1675178

Wilson's statement recommending a short position in a risk reversal based on his expectation that the S&P 500's level of volatility skew is expected to decline is *most likely*:

A) incorrect regarding a short position in a risk reversal being profitable if the level of volatility skew declines.

B) incorrect regarding an expected decline in the level of volatility skew implying that the market is expected to turn bullish.

C) correct.

Question #68 of 75

Question ID: 1675162

Consider a risk reversal strategy with a delta of 0.45 involving 5 call contracts and 5 put contracts. Each contract is worth 100 shares. Which of the following trades would *best* ensure a delta hedged position?

A) Sell 225 shares.

B) Sell 450 shares.

C) Buy 450 shares.

Question #69 of 75

Question ID: 1675150

Which of the following statements about short calendar spreads is *most accurate*?

A) A short calendar spread is a credit spread, not a debit spread.

B) A short calendar spread benefits from an increase in implied volatility.

C) A trader benefits most if the shorter-dated option expires at the money (ATM).

Elm Court Advisors (ELM) Scenario

Suzanne Sheffield is the head of risk management at Elm Court Advisors (Elm). Elm is an investment management firm headquartered in Burlington, Vermont. She is meeting with George Harris, a portfolio manager at Elm.

In preparation for the meeting, Sheffield prints out the information in Exhibit 1 for options on BIM stock. BIM is a major financial software consultancy. The stock is trading at USD154.10, and the tables show a range of option expirations and strike prices for both calls and puts. The put data includes each option's price and its delta.

Harris has two large clients Sheffield wants to discuss. Both are retired senior executives of BIM. He has consulted with Elm's compliance group and determines neither client is considered an insider. Also, both insiders are free to trade in the stock or its options without legal restriction.

Client 1 has a favorable view of BIM and holds a large block of the stock with a large unrealized capital gain. Harris is considering the following strategy for Client 1. In this strategy, he is ignoring the long position in the stock that the client wants to retain and looking only at the performance of the options.

Strategy A:	This is a speculative single-option position to generate additional profits if the stock appreciates before the year's end (December). He will buy an at-the-money 154 December option.

Client 2 has sold his shares of BIM and has a very negative opinion on the stock.

Strategy B:	Harris will use a bear spread constructed with September 150 and 158 calls.

Exhibit 1: Options Data for BIM, Inc. (All Values in USD1)

Calls (Premium)

Expiration	June (14 Days)	September (105 Days)	December (196 Days)
Strike price: 150	6.15	12.95	17.26
152	4.88	11.87	16.21
154	3.79	10.85	15.21
156	2.87	9.89	14.26
158	2.12	9.00	13.35

Puts (Premium, and Associated Deltas)

Expiration	June (14 Days)	September (105 Days)	December (196 Days)
Strike price: 150	1.80, –0.324	7.01, –0.435	9.73, –0.453
152	2.53, –0.408	7.90, –0.467	10.64, –0.477

154	3.43, –0.496	8.85, –0.500	11.60, –0.501
156	4.51, –0.583	9.87, –0.532	12.60, –0.524
158	5.76, –0.665	10.95, –0.563	13.65, –0.547

The current price of BIM stock is $154.10.

Harris has another client (Client 3) where he has been using option strategies for a couple of years. The client recently observed that it appears more of the strategies have involved long rather than short positions. Harris responds that is often true, and that it is just human nature that we all like positive skew, and buying options can have a large payoff with limited downside risk. The client asked how that can work. "Doesn't there have to be an option seller?" Harris admitted he was stumped by this, and he now asks Sheffield to explain it.

Sheffield states that dealers will take the other side of the trade and typically accumulate net short positions in the options. Then, they use delta hedging to offset the risk. For example, a dealer might accumulate a short position in September puts on 10,000 shares of BIM at a strike price of 152. The dealer can hedge this with shares of BIM. It then gets complicated because the hedge must be rebalanced, and there are second-order issues that can affect the performance of the hedge. Sheffield promises to follow up with Harris and provide more details later.

Question #70 - 73 of 75

Question ID: 1675165

The breakeven stock price for the option in Strategy A is *closest* to:

A) 15.21.

B) 169.21.

C) 154.00.

Question #71 - 73 of 75

Question ID: 1675166

The max gain for the bear spread using call options in Strategy B is *closest* to:

A) 3.95.

B) 12.95.

C) 4.05.

Question #72 - 73 of 75

Question ID: 1675167

The initial shares of BIM required to hedge the 10,000 short September puts with a strike price of 152 is *closest* to:

A) short 4,080 shares.

B) long 4,670 shares.

C) short 4,670 shares.

Question #73 - 73 of 75

Question ID: 1675168

Rebalancing the hedge on the 10,000 short September puts with a strike price of 152 is *most likely* to produce an immediate net profit if:

A) the BIM stock price decreases and expected volatility increases.

B) the BIM stock price increases and expected volatility decreases.

C) the BIM stock price increases and expected volatility increases.

Question #74 of 75

Question ID: 1675133

An investor is short 10 contracts of July $40 calls and short 10 contracts of July $40 puts on Alphastar shares. The investor does not own the underlying shares. Which of the following statements about the investor's position is *most accurate*?

A) The investor's risk exposure to a fall in Alphastar's share price is limited rather than unlimited.

B) The investor is fully hedged against changes in Alphastar's share price.

C) Increased volatility of Alphastar shares will result in rising call option values but falling put option values.

Question #75 of 75

Question ID: 1675146

To fully hedge against price movements in a stock, an investor should enter into a short forward position where the number of short forward shares is:

A) less than the number of shares owned.

B) greater than the number of shares owned.

C) equal to the number of shares owned.